



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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**Circular to Licensed Corporations
Who wish to act as Financial Intermediaries for
Entrants under the Capital Investment Entrant Scheme**

Background

The Capital Investment Entrant Scheme (“the Scheme”) was launched on 27 October 2003. The response was good with over 50 applications received from people of various countries within the first three weeks. The SFC would like to alert licensed intermediaries of the salient features of the Scheme and their role if they wish to act as financial intermediaries for Applicants/Entrants of the Scheme.

The Scheme

Under and subject to the terms and rules of the Scheme in force from time to time, an Applicant/Entrant is required to invest initially not less than HK\$6.5 million in permissible investment assets to which he is absolutely entitled and thereafter remain invested in permissible investment assets throughout the period of the Scheme applicable to him. Permissible investment assets comprise two classes, namely, real estate in Hong Kong and specified financial assets. Subject to the “Rules for the Capital Investment Entrant Scheme” (“the Scheme Rules”) published by the Immigration Department, the Applicant/Entrant may invest in either or both of these two classes of permissible investment assets in such proportions as he wishes. The Applicant/Entrant wishing to invest in specified financial assets, whether or not in combination with investment(s) in permissible real estate, has to hold the investment in the specified financial assets in a designated account in his own name to be operated by a single financial intermediary.

Subject to, among others, the criteria and obligations described below, relevant licensed corporations may act as financial intermediaries for the Applicants/Entrants of the Scheme in respect of their investment in relevant specified financial assets. Applications are **NOT** required.





Eligibility

The basic criteria to be a financial intermediary for the Scheme include the following:-

- (a) A corporation licensed by the Securities and Futures Commission to carry on Type 1 (dealing in securities), 4 (advising on securities) and/or 9 (asset management) regulated activities under the Securities and Futures Ordinance; or
- (b) An authorized financial institution as defined in the Banking Ordinance.

Obligations

Under the Scheme Rules, financial intermediaries are required to enter into an agreement with the Applicant/Entrant for the management and operation of the designated account which includes the terms set out at **Annex**. The role of the financial intermediary is to operate the designated account in accordance with the instruction of the Applicant/Entrant, and to report to the Immigration Department the status of his holding(s) in a timely manner as stipulated under the terms referred to in the **Annex**.

Specified Financial Assets

Specified financial assets permitted under the Scheme, which must be Hong Kong dollar denominated, include, among others, equities listed on the Stock Exchange of Hong Kong Limited as well as eligible collective investment schemes that are published and updated from time to time by the Immigration Department. Detailed requirements of the specified financial assets are available at the Immigration Department's website at <http://www.immd.gov.hk>.

Full details of the Scheme and the Scheme Rules are available at the offices of the Immigration Department and on its website. For enquiries regarding the Scheme and the Scheme Rules, please contact Other Visas and Permits Section of the Immigration Department at 2829-3232.

Should you have other queries on the above, please refer to the "Frequently Asked Questions on the Scheme relating to financial intermediaries" on the SFC's website (www.hksfc.org.hk) under "Licensing Related Matters" of the Intermediaries, Licensing and Investment Products section or contact your responsible Intermediaries Relationship Manager of the Licensing Department.

Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission



**Contract between Applicant/Entrant and Financial Intermediary
in respect of the Capital Investment Entrant Scheme (the Scheme)**

The contract between the Applicant/Entrant and the Financial Intermediary must contain the following specific provisions which (1) shall be of the essence of the contract and prevail in the events of any conflict or inconsistency between these essential provisions and the other terms of the contract, and (2) shall bear the same meaning as in the Scheme: -

1. The designated account of the Applicant/Entrant, opened with the Financial Intermediary and operated in accordance with the instruction of the Applicant/Entrant, shall only hold:

- (1) Specified financial assets (as defined and referred to in the Scheme Rules published by the Director of Immigration (the Director) for the purpose of the Scheme);
- (2) cash proceeds of sale or other realisation of Specified financial assets;
- (3) cash transferred to the designated account by the Applicant/Entrant for investment in Specified financial assets; and
- (4) cash representing cash dividends or interest accruing in the designated account.

2. All cash transferred to the designated account by the Applicant/Entrant and all cash proceeds of sale or other realisation of Specified financial assets shall be invested or re-invested in Specified financial assets in accordance with the Scheme Rules.

3. The Financial Intermediary shall notify the Director in writing^{Note 1} within 7 working days of acquiring actual knowledge of any of the following:

- (1) the Applicant/Entrant has withdrawn any assets from the designated account (other than cash dividends or interest accruing in the designated account);
- (2) any instruction from the Applicant/Entrant to withdraw any assets from the designated account (other than cash dividends or interest accruing in the designated account);
- (3) the Applicant/Entrant has not re-invested the proceeds of sale or other realisation of Specified financial assets in further Specified financial assets within the following period (or such other period as may be provided by the Scheme Rules then in force)–
 - (a) no more than 14 days may elapse between the date of the contract for the sale of the asset being sold and the

^{Note 1}The notification could be addressed to “Chief Immigration Officer, Other Visas and Permits Section, Immigration Department, 7/F, Immigration Tower, 7 Gloucester Road, Wan Chai, Hong Kong” (Telephone : 2829 3232, Fax : 2824 3287).

date of the contract for the purchase of the reinvestment asset;

(b) in calculating the period mentioned in (a) above

(i) “**date of the contract**” means the date on which the agreement (whether written or unwritten) comes into legal effect;

(ii) the first date referred to shall be excluded and the last date referred to shall be included;

(iii) if the first and/or last day of the period would otherwise be a Sunday, a public holiday, a gale warning day or a black rainstorm warning day, the first and/or last day shall instead be the next following working day and the period shall be extended accordingly;

(4) any instruction from the Applicant/Entrant to transfer the designated account or any assets in the designated account (other than cash dividends or interest accruing in the designated account) to any other Financial Intermediary or other person;

(5) (Except for any lien to secure payment or the Financial Intermediary’s proper fees and expenses), the

Applicant/Entrant has charged, assigned or created any interest in favour of a third party in any assets in the designated account (including cash dividends or interest accruing therefrom, if any, provided that these are still held in the designated account);

- (6) the Applicant/Entrant has ceased to be the sole beneficial owner of all assets in the designated account (other than cash dividends or interest accruing in the designated account); and
- (7) any instruction by the Applicant/Entrant to close the designated account.

4. Within 14 working days after the first anniversary of the grant of Formal Approval to the Applicant/Entrant to join the Scheme, and within 14 working days after each subsequent anniversary if the Financial Intermediary still operates the designated account at such anniversary, the Financial Intermediary shall:

- (1) notify the Director in writing of the composition of the designated account at the relevant anniversary and the acquisition cost (exclusive of all dealing charges, commission and stamp duty) of the Specified financial assets held in the designated account at that date; and
- (2) confirm in writing to the Director that to the best of the Financial Intermediary's knowledge the Financial

Intermediary has complied fully with the reporting obligations set out above in respect of the 12 month period immediately before the relevant anniversary, or notify the Director in writing of all matters which should have been reported in respect of that period.

5. The Financial Intermediary shall promptly answer all queries addressed to it by the Director concerning the designated account and supply such documents (whether copies or originals) concerning the designated account as the Director requests. The Applicant/Entrant irrevocably authorises the Financial Intermediary to answer all such questions and provide such documents.

6. The expression “working day” in the above provisions means a day other than a Sunday, a public holiday or a gale warning day or a black rainstorm warning day (both as defined in section 71(2) of the Interpretation and General Clauses Ordinance (Cap.1 of the Laws of Hong Kong)).

7. The Financial Intermediary shall supply to the Director^{Note 2} within 7 working days from the day it is made a copy of the contract between the Applicant/Entrant and the Financial Intermediary and within 7 working days a copy of every amendment or variation to such contract (but subject to the provisions of paragraph 9 below).

^{Note 2} The document could be addressed to “Chief Immigration Officer, Other Visas and Permits Section, Immigration Department, 7/F, Immigration Tower, 7 Gloucester Road, Wan Chai, Hong Kong” (Telephone : 2829 3232, Fax : 2824 3287).

8. These provisions set out at paragraphs 1 to 9 shall prevail over any other provisions in the contract between the Applicant/Entrant and the Financial Intermediary in the event of any conflict or inconsistency between them.

9. The above provisions shall not be altered without the written consent of the Director.